

LEEWAY FINANCIAL SERVICES LIMITED
Audit Report, Nyendo Branch

Subject: Cash Handling Irregularities and Fraud by Ms. Kwera Dorah (Cashier)

Audit Period: June 2025 – October 2025

Date of Compilation: 29th November 2025

1. INTRODUCTION

This report presents the findings of an audit conducted at Leeway Financial Services Limited Nyendo Branch, focusing specifically on the conduct, cash handling, and transactional integrity of the branch cashier, Ms. Kwera Dorah.

The audit was commissioned following persistent cash shortages, unbalanced daily reports, and suspected fraudulent activities within the branch. The purpose of this audit was to establish the existence, extent, nature, and causes of the losses incurred, identify responsible parties, and provide recommendations suitable for management action.

2. AUDIT SCOPE AND METHODOLOGY

2.1 Scope

The audit covered the period **June 2025 to October 2025** and focused on:

- Cash-in and cash-out transactions
- Client cash-out records
- Daily cashier reconciliation reports
- Loan disbursement and repayment records
- Client registers and supporting documentation

2.2 Methodology

The audit was conducted through:

- Physical inspection of cash records and registers
- Reconciliation of daily cash reports against system records
- Review of office client cash-out and field visitations for confirmation
- Verification of client details, phone numbers, and signatures
- Analytical review of shortages and transaction patterns

3. AUDITEE DETAILS

- **Name:** Kwera Dorah
- **Position:** Cashier
- **Branch:** Nyendo Branch
- **Status:** Left employment (**Abscondment**)

4. AUDIT FINDINGS

The audit established material financial misconduct attributable to the cashier, summarized as follows:

4.1 Total Cash Shortage

- **Total Verified Shortage: UGX 23,851,000**

4.2 Nature of Irregularities Identified

1. Fake Cash-Out Transactions

- Multiple cash-out entries were recorded without corresponding client confirmation.
- Several clients denied receiving funds attributed to them as loan disbursement.
- Forged client names, signatures, and telephone numbers were identified.

2. Fraudulent Transactions

- Intentional manipulation of records to conceal shortages.
- Use of false client details and internal office clients to justify cash-outs.

3. Miscalculations and Unbalanced Reports

- Daily cashier reports consistently failed to balance.
- Deliberate misstatements were observed rather than clerical errors.

4. Exceeding Approved Loan Limits

- Loans were disbursed beyond approved limits without authorization.
- Some loan proceeds were not traceable to genuine beneficiaries.

5. ANALYSIS OF LOSSES

Cause of Shortage	Amount (UGX)
Fake Cash-Outs	22,333,000
Fraud (Other)	136,000
Miscalculations	290,000
Unbalanced Reports	432,000
Exceeding Loan Limits	660,000
TOTAL LOSS	23,851,000

6. CLIENT TRANSACTION EVIDENCE

A detailed list of clients and transactions associated with the fake cash-outs and irregular payments is attached to this report and forms an integral part of the audit evidence. The attached schedules indicate dates, client names, and amounts fraudulently processed by the cashier.

7. CAUSES OF THE SHORTAGES

The audit concluded that the shortages were caused by:

- Fake and fictitious cash-out transactions
- Deliberate fraud by the cashier

- Manipulation of records and reports
- Persistent miscalculations and false balancing
- Unauthorized exceeding of loan amounts

These causes demonstrate intentional misconduct rather than negligence.

8. CONCLUSION

Based on the evidence reviewed, the audit conclusively establishes that Ms. Kwera Dorah, while serving as cashier at Nyendo Branch, engaged in systematic and deliberate fraudulent activities resulting in a total financial loss of **UGX 23,851,000** to Leeway Financial Services Limited.

The actions identified constitute gross misconduct, breach of trust, and fraud.

9. RECOMMENDATIONS

- Immediate recovery proceedings be instituted against the cashier for the full amount of **UGX 23,851,000**.
- The matter be reported to relevant law enforcement authorities for criminal investigation and prosecution.
- Strengthen branch supervision and segregation of duties.
- Require client cash-outs to be verified independently by field officers or supervisors.
- Enforce strict daily cash reconciliation and management oversight.

10. AUDITOR'S DECLARATION

I declare that this audit was conducted objectively and professionally, and that the findings herein are true and correct to the best of my knowledge, based on evidence examined during the audit period.

11. ATTACHMENTS

Company License, Face Cash-Outs Daily Signed Reports, Audit Draft

Compiled and Prepared by:

Audit and Compliance Department
Leeway Financial Services Ltd
Date: 29th November 2025

KUBIT DRAFT FOR NYENGO BRANCH

DATE	NAME		FRAUD	MCS	C/B	C/B	EX/SI
10/9/25	Ssenyanga	Tonny	360,000				
12/10/25	Ssenyanga	Tonny	300,000				
11/1/25	Namukasa	Scovia	300,000				
24/9/25	Ssemaganda	John	300,000				
12/10/25	Ssemaganda	John	420,000				
14/9/25	Kyakowa	Samuel	300,000				
6/10/25	Kyakowa	Samuel	180,000				
29/9/25	Nanyonga	Scovia	240,000				
4/10/25	Kimbugwe	Sidlas	540,000				
21/1/25	Nabulika	Suzan	300,000				
11/9/25	Nalisa	Agnes	420,000				
13/10/25	Nalisa	Agnes	300,000				
6/9/25	Bizuman	Adonia	360,000				
26/10/25	Bizuman	Adonia	420,000				
7/9/25	Kisitu	Godfrey	360,000				
5/10/25	Kisitu	Godfrey	300,000				
11/9/25	Kayesu	Annet	360,000				
5/10/25	Kayesu	Annet	240,000				
12/9/25	Kyaligonza	Henry	300,000				
7/10/25	Kyaligonza	Henry	300,000				
15/10/25	Kyaligonza	Henry	360,000				
13/9/25	Kisitu	Ivan	420,000				
9-10/10/25	Kisitu	Ivan	540,000				
14/9/25	Nabakooza	Zulauka	300,000				
6/10/25	Nabakooza	Zulauka	240,000				
15/9/25	Nakito	Goreth	420,000				
17/9/25	Ndiho	Jack	420,000				
29/10/25	Ndiho	Jack	360,000				
21/9/25	Nakito	Glarh	180,000				
14/10/25	Nabakooza	Annet	300,000				
			10,140,000				

ALBET DRAFT FOR NYENGO BRANCH

DATE	NAME	FRAUD	MCS	C/B	C/B	EX/SH
	Nakasita Esther	240,000				
	Namazzi Passy	192,000				
	Nakwalasi Habibah	274,000				
	Matovu Mike	290,000				
	Nayebare Esther	290,000				
	Mukasa Ronald	270,000				
	Namanda Pace	260,000				
	Nakyeeyune Maria	15,000				
	Babirye Sylvia	22,000				
	Namyalo Sative	100,000				
	Nakanwangi Diana	3,000				
	Kyambande Henry	406,000				
	Nassuna Annet	168,000				
		2530,000	LOANS NOT APPEARING IN CREDIT			
8/10/20	Mugonza Bashir	360,000	BOOKS ARE NOT PAID			
18/10/20	Mugonza Bashir	300,000				
19/9/20	Nakalema Harriet	300,000				
11/10/20	Nakalema Harriet	300,000				
20/8/20	Nangobi Brenda	360,000				
28/8/20	Kakooza Micheal	360,000				
13/10/20	Kakooza Micheal	300,000				
31/8/20	Tushabe Enid	300,000				
26/10/20	Tushabe Enid	240,000				
01/9/20	Nayebare Teddy	300,000				
06/10/20	Nayebare Teddy	240,000				
22/10/20	Nayebare Teddy	300,000				
03/9/20	Mbazira Roman	300,000				
18/9/20	Karungi Scovia	300,000				
09/9/20	Kalisa Ivan	300,000				
7/10/20	Kalisa Ivan	300,000				
		4860,000				

AUDIT DRAFT FOR NYENSO BRANCH

DATE	NAME	FRAUD	MCS	C/B	C/B	EX/SH
24/1/25	Srenyonga Benard		2000			
5/10/25	Natukunda Sharon	7500				
31/1/25	Namigande Rose	Pending 2000				
16/1/25	Kuritu Godfrey	Exceeding 60000				
9/1/25	Karule Robert		8000			
6/1/25	Karule Robert	Exceeding 60000				
10/1/25	Naramba Kurakye	Exceeding 60000				
20/1/25	Kyaligonza Henry		8000			
18/1/25	Nalubowa Prisca	810 15000				
14/1/25	Nanyogio Sumaya		2000			
01/10/25	Namukasa Annet	810 3000				
13/1/25	Mugisha John		60000			
21/1/25	Babirye Sylvia	3000				
8/10/25	Nangobi Brenda	Exceeding 60000				
5/10/25	Nansamba Kurakye	Exceeding 60000				
2/1/25	Makutu Gladys	Exceeding 60000				
		392000	80000			

CLIENTS CLAIMING THAT DIDN'T TAKE LOANS

Itumba Micheal	260000
Katula Emma	240000
Matawe Anantoli	180000
Nasali Lydia	300000
Mujuzi Rahim	270000
Serugo Abdul	290000
Nalubega Sarah	260000
Mutebi Seleusta	224000
Karule Robert	116000
Nalisa Agnes	148000
Nakayiza Benah	132000
Kineza Grace	200000
	2620000

RUBIT DRAFT FOR NYUNDO BRANCH

DATE	NAME	FRAUD	MCS	C/B	C/B	EX/SH
23/9/25	Nayebare Dianah		10000			
26/7/25	Nanyondo Harriet		10000			
11/8/25	Nakitto Rose			4000	6000	-2000
22/7/25	Naruna Annet	Exceeding 60,000				
29/9/25	Kakooza Martine	42000				
20/7/25	Namuddu Yaya	3000				
10/8/25	Namuddu Yaya		10000			
2/7/25	Nabukenyi Teo	7000				
25/7/25	Najumba Gatrude	6000				
18/8/25	Najumba Gatrude	7000				
18/8/25	Katula Emma	7000				
2/8/25	Nakajako Rerty			2000	4000	2000
29/7/25	Nakajako Rerty		2000			
2/8/25	Nayiga Angella		30000			
18/8/25	Nabayinda Arian	7000				
11/8/25	Nalembo Maxy		4000			
18/8/25	Kavuma Antony	7000				
18/8/25	Muyingo Kevin	7000				
13/8/25	Tusiime Sharon	7000				
8/8/25	Namanda Rose		10000			
21/7/25	Clemaganda John	Exceeding 60,000				
12/7/25	Nakuritu Glash	Exceeding 60,000				
24/6/25	Nakwalaru Habiba	Exceeding 60,000				
26/7/25	Nukasa Ronald		8000			
24/7/25	Naramba Kwakye	Exceeding 60,000				
12/8/25	Mutebi Selevester		10000			
16/7/25	Namudu Brenda		102000			
5/8/25	Nanguka Florence		2000			
16/7/25	Namugumya Oliver		2000			
26/7/25	Nakyanzi Juliet		10000			
		400,000	210,000			4000

AUDIT DRAFT FOR NYENGO BRANCH

DATE	NAME	FRAUD	MCS	C/B	C/B
24/10/25	Kyimbugwe Henry	420,000			
25/10/25	Kasule Robert	300,000			
30/10/25	Nabukanya Betty	300,000			
31/10/25	Nalukwago Festo	300,000			
2/11/25	Namulindwa Stella	300,000			
	Nawewena Prisca	25,000			
	Nakalyango Unity	190,000			
	Nakayiga Margaret	158,000			
		2,183,000			